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K.T. Thomas

Introduction

“Resource issues will gain prominence on the international agenda”, the US National Intelligence Council (NIC) reports states. “Unprecedented global economic growth — positive in so many other regards — will continue to put pressure on a number of highly strategic resources, including energy, ... and demand is projected to outstrip easily available supplies over the next decade or so.”¹ Oil and gas production of many traditional energy producers are already declining. “Countries capable of significantly expanding production will dwindle; oil and gas production will be concentrated in unstable areas”, notes the NIC report.²

The US policy towards the Middle East has been influenced by Oil, Palestine, Security (defence) and the strategic location of the region.³ US President Roosevelt’s meeting with King Farouk of Egypt and Ibn Saud of Saudi Arabia, following the Yalta conference was motivated by the desire to earn Arab goodwill so that oil might be available for the US.

Due to its oil reserves and strategic importance, America has always been interested in the Middle East, and to protect its interests, supported her client states in the area like Iran (till 1979) and Israel.⁴ Despite her interests and involvement in the region the US never participated in the Arab-Israel wars of 1948, 1956, 1967, 1973 and the Iran-Iraq wars of 1980s but provided military and economic support.

The Historical Context

Following World War II, the US emerged as the primary capitalist super power. It wanted to secure its economic and political interest in a global canvas. Meanwhile the newly discovered energy sources had enhanced the significance of the Middle East. The Sykes-Picot agreement between Britain and France was aimed at achieving western goals in the region.⁵ This agreement recarved the Middle East, creating new entities ruled either directly by colonial power or by proxy regimes. Britain and France divided the Fertile Crescent, comprising Iraq, Syria, Palestine, Lebanon and Jordan.

The US, in conjunction with France and Britain, launched a number of projects to secure colonial interests in the region. In 1948, Israel was established,⁶ comprising over 78 percent of Palestine and sending 75 per cent Palestine people into exile. This created a permanent forward military deterrent force in the heart of the Arab World.

In 1953, the CIA overthrew Mohammed Mossadeq,⁷ Prime Minister of Iran, after he nationalized Iranian oil. This sent a signal that any shift in economic policies from dependency to independence by the emerging liberation movements would not be tolerated by the US.

The same policy was carried out in Egypt in 1956 when it nationalized the Suez Canal. It also resulted in a combined move of Britain, France and Israel against Egypt and its president Gamal Abdal Nasser.⁸ In 1957, the Eisenhower Doctrine was issued declaring the “right” and intent of the US to intervene in the Middle East. In 1958, US marines from the Sixth Fleet landed in Lebanon in an attempt to prevent the advance of the revolutionary movement in the region.

The US and Middle East Oil

The political and economic history of Arab oil is vertically cleaved between two different courses – the courses of nationalization and participation.⁹ The Western robbery of oil resources was challenged by nationalist forces first in Iran and a decade later in Iraq which resulted in the nationalization of oil fields and termination of concessionary arrangements. They were joined by Venezuela, Algeria and Libya outside the Gulf region. On the other hand, Saudi Arabia, Kuwait, Baharain and UAE, adopted the second course, which was more moderate. They could check the continuous drop in oil prices through equity participation with the oil companies. Three important factors created a structural shift in the state-building process in the Gulf region in the 1970s: first the nationalization process in Iran, Iraq, Algeria, Libya and Venezuela; second, rise of OPEC (formed in 1960) creating a collective bargaining power, and third the Arab-Israel wars of 1967 and 1973.¹⁰ In the 1967 and 1973 wars, oil was used a political weapon by the Arab States.

By the end of 1975 Iraq's annual oil income increased phenomenally and stood at around \$ 8 billion.¹¹ The Iraqi crude oil production, which was 1,00,400 barrels per day in 1960 steadily increased to 2, 51, 500 barrels in 1978.¹² The new oil revenues led to renewed attention to social security systems, to new housing projects and to impressive investments in health and education. However, 40 percent of the income from oil was being spent on arms purchases.¹³ The import of arms by

Iraq, which had reached \$1.9 billion in 1975, dramatically increased during the subsequent years, especially after the oil price hike of 1979.¹⁴ Apart from military expenditure, a part of Iraqi oil revenue was spent on gigantic economic projects of western based multinational corporations and on the import of luxury goods from western capitalist countries. Thus Iraq was collaborating with the international capitalist order. This is quite evident from the Iraqi foreign trade statistics. In 1977, for instance, Iraq had imported 77.8 per cent of its total imports from western capitalist countries while the corresponding figures for developing countries and the socialist bloc were 11.8 and 10.4 per cent respectively.¹⁵

Since the late 1970s Iraq had concluded a series of agreements to purchase nuclear technology from the oil consuming countries. An agreement with Brazil in January 1980 undertook to supply to Iraq raw and slightly enriched uranium along with equipment and construction services for building nuclear reactors.¹⁶ This was followed by an agreement with Portugal in March 1980. France was another major supplier of nuclear technology and enriched fuel to Iraq. In March 1980 some 600 Iraqi technicians were trained in France.¹⁷ Though Iraq co-operated with these countries it cannot be included in the category of Saudi-type tool in the hands of Western powers.

During the Iran-Iraq war (1980-88) the US officials' position appears contradictory. On the one hand Washington defended "Iran's territorial integrity" and give hints of its readiness of supply Iran with military spares for arms already purchased by the Shah. On the other hand, US gave all possible help to Iraq through Morocco, Jordan, Saudi Arabia, Oman and other puppets in the Gulf area. In spite of this complexity in US policy, one fact is quite clear: the US would use all her forces to defend the oil resources of the "friendly nations" of the Middle East and the guarantee to secure international flow of petroleum. "The United States is preparing to intervene itself; to use force to try to control the flow, distributions and price of oil in the event of a coup...", according to a report in the *Christian Science Monitor*.¹⁸

Though the US government declared neutrality on the outbreak of the war, four AWACS aircrafts took off from the Oklahoma air force base on the same day which were destined for Saudi Arabia. These sophisticated radar planes were stationed at the US-built Dahrán airbase, on the pretext of safeguarding Hormuz straits through which more than 15 million barrels of oil were shipped daily in normal times. The US was actually building up a hysteria around the threat to oil lines, and on the pretext she was reinforcing her naval presence in the Persian Gulf. It also tried to bring its allies into the grand scheme. Thus the

war provided an opportunity for imperialist intervention in the region.

In spite of the US arms embargo against Iran and despite the latter's anti-US gesture, the US supplied arms to Iran indirectly through arms dealers in the international market. Earlier in 1981 America had completed shipment of war materials worth \$480 millions to Iran. The US was simultaneously involved in arms transactions with Iraq. To facilitate this, the US government officially omitted Iraq from the list of the countries encouraging international terrorism. The US itself provided information about Iran's military targets, for at that time, from the point of view of America, Iraq was fighting against Muslim fundamentalism. During the war Israel had sold Iran an estimated \$120 million worth of weapons and spare parts. This was exposed to the world after the crash of an Argentine plane in Soviet territory, carrying Israeli communication equipments to Tehran. The sale of American-made equipments to Iran by Israel could not have been undertaken without the approval of the US.¹⁹

In the Iran-Iraq war the US had three important aims: the control of oil, sale of arms, and the weakening of two potential powers in a region which is of strategic significance to the US. By providing financial and military assistance to both countries it could again many concessions in oil trade. The US was benefited by billions of dollars out of this crisis. The decline in the production of oil in Iran and Iraq was compensated by the increased production by Saudi Arabia, UAE, Venezuela and Nigeria. The Saudi production of oil was increased to a record of 10.4 million barrels a day, 900,000 barrels higher than the pre-war output. Thus the US was not affected but only benefited by the Iran-Iraq war.

During the Kuwait crisis (2 August 1990) the US decided to make use of the situation to strengthen its hold over the region.²⁰ America could never appreciate the oil rich Gulf being controlled by the Arabs. On the Kuwait Issue the US closed the doors of diplomacy. Noam Chomsky, in an interview, has said that the US and Britain never wanted to resolve the crisis through diplomacy because when France wanted to introduce a proposal at the UN Security Council²¹ calling for a total and immediate Iraqi withdrawal from Kuwait, the US and Britain immediately announced that they would veto the proposal.

The post-Gulf war scenario also speaks of overwhelming American superiority, and the US taking advantage of each and every crisis in the region. Whether it is related to post-war reconstruction of Kuwait or survival of Saddam Hussain, the US was the only deciding factor. The contracts for the reconstruction of Kuwait had also largely gone in favour of the US and its allies.

The US has been maintaining a unique type of relationship with Saudi Arabia and other states in the Persian Gulf which suits its strategic interests and long term, goals. US relations with Saudi Arabia had commenced from the time of Ibn Saud, the founder and the first king of the country. In 1933, the Standard oil of California placed the oil concession with Saudi Arabia under a wholly owned subsidiary, California Arab Standard Oil Company. This company was the precursor of Arabian American Oil Company (ARAMCO) established in 1944. In 1940s ARAMCO officials convinced Washington that Saudi Arabia's oil reserves amounted to 20 million barrels, which was equal to all the explored deposit in US. In 1945, the meeting between Ibn Saud and US President Roosevelt yielded beneficial outcome to the US. The US was in search of oil deposits and air bases. Ibn Saud permitted the US to build US air force bases in Saudi Arabia. Meanwhile the US monopoly companies had taken full possession of the oil deposits of Saudi Arabia, Bahrain and half of the oil deposits in Kuwait.²² These companies were fully supported and encouraged by the US government.

Saudi Arabia slowly drifted to the position of a puppet state of the US. The Saudi royals supported the US economy by faithfully buying US Treasury Security worth billions of dollars, year after year. Saudi Arabia had been trying to conceal the hegemonic presence of the US. But by 1990 the US could no longer remain invisible in Saudi Arabia. Iraq's invasion of Kuwait in 1990 dramatically altered the situation, as Saudi royal family could no longer conceal its dependence on the US. The US could strengthen its military presence in Saudi on the pretext of the new crisis. This resulted in popular resentment and reaction in Saudi Arabia.²³ The post-1991 period witnessed increased opposition movements which have been suppressed by the government.²⁴

The Shias in Saudi Arabia mostly living in the eastern province faced various forms of discrimination. The Wahabis branded them as heretics thereby fuelling the discrimination. They are banned from certain professions, for example, the army and educational institutions. Their peaceful demonstrations against the authorities were sternly suppressed.²⁵ But the US, the 'Watchman' of human rights and democratic principles have shown least concern in such developments. There was a steady decline of Saudi oil revenue (down to \$35 billion a year) in 1998.²⁶ But this did not affect the country's oligarchy, whose income sources had diversified. The US support to the ruling oligarchy and vice-versa had generated extreme resentment among the common people. Military guarantees by the US in exchange for access to oil and Saudi purchases of US bonds are obviously not enough to ensure stability in the long run.²⁷

Following the 1991 war, the US had to an extent been able to convince Arab states of their need to go in for arms to counter the imagined threat from Iran. The US and the West also seem to have believed that an arms competition between the Arabs and Iran would help contain Islamic fundamentalism. Consequently the Arab states in the Gulf and Iran were competing in arms race with each other during the post-Kuwait crisis. Out of the \$21 billion in arms sales to West Asia approved by the US in 1991, about \$14 billion were channeled to Saudi Arabia.²⁸

Along with Saudi Arabia, the US had entered in to strategic relations with other small states in the Persian Gulf. Iraq's invasion of Kuwait further enhanced their dependence on the US. Because of the security threats, especially from Iran, Sultan Qaboos of Oman decided to forge closer ties with the US. The US signed a bilateral agreement with Oman on June 4, 1980. Under the agreement the US was entitled in emergencies to use Omani air and naval facilities at Sulalah, Thumrayt, Masirah island, Mufrah, Seeb and Khassab. Bahrain began to lean more and more on USA in the mid-80s, due to two important reasons. Firstly US was emerging as the dominant power in the Gulf and secondly, Bahrain was relying more and more up on Saudi Arabia which was very close to the US. This trend was further strengthened after the Kuwait crisis. US signed a defence pact with Qatar on 23 June 1992.²⁹

The dependency of the Arab states on the US and the US domination on Gulf States became more evident when the US decided to attack and occupy Iraq. Saudi's endorsement of a UN mandated use of force against Iraq in a way reflected the mood in most Arab capitals. They felt that war had to be avoided, but if it became inevitable, it was preferable either to step aside from the firing line or participate in a US led campaign.³⁰ After September 11, the *Wall Street Journal* had surveyed the opinion of "moneyed Muslims", bankers, professionals, and business with close US ties. They expressed dismay about US support for "oppressive regimes" and its opposition to independent development and political democracy in the Arab States.³¹ The United States prefers family autocracies because they are more amenable to influence and control.

Saudi Arabia holds one quarter of all the oil in the world. It has proven 264 billion barrels of oil and possible reserves that are estimated by the US Energy Information Administration to be as high as one trillion, barrels.³² The Saudis have the world's largest production capacity, and the largest excess production capacity. On a daily basis it currently produces 8 million barrels per day. Besides, it is the only country that can, on short notice, produce an additional two million

barrels a day.³³ For these reasons the oil market revolves around Saudi Arabia. For US geopolitical strategists, this dependence on Saudi Arabia is a major vulnerability which fundamentally shapes US military policy.

Invasion of Iraq — The Oil Factor

The invasion of Iraq and the move against Saddam Hussain was directed towards the achievement of long term US goals in the region. The indicators are that in 1990, in the uneasy interim between the conclusion of war against Iran and the beginning of the war of destruction of the US, “Iraq had the second highest development score among its neighbours in the Middle East, behind only the UAE”. With the first stage of the US project consummated in the ejection of Iraqi forces from Kuwait, Iraq’s development indicators began a rapid descent. Within a decade, Iraq was registering the regions second worst scores, next only to Yemen.³⁴

Iraq is one of the cheapest countries in the world to extract oil, costing just 55-60 cents a barrel compared to the extraction cost of \$ 6 a barrel from Russian oil wells and about \$2.50 from Saudi Arabian oil wells. Moreover, Basra and Kirkuk, produce sweet grades crude that are simpler and cheaper to refine because of the lower sulphur content. The US Energy Information Administration estimates Iraq’s possible reserves at 220 billion barrels or approximately 80 percent of current proven Saudi reserves.

Such quantities of oil reserves in a country under a ruler (Saddam Hussain) who was bold enough to challenge the western regimes, was not conducive to the realization of the strategic aims of the US and her allies. His attempt to become a Pan-Arab leader (his model was Gamal Abdal Nasser) also indicated the remote possibility of mobilization and consolidation of the Arabs, which would be detrimental to the western hegemonic power structure in the Middle East.

The Bush-Cheney administration has an “oil equals security” mindset. The administration’s geo-political strategy in large part revolves around the perceived need to maintain access to oil reserves, particularly in the Persian Gulf, but around the world as well.³⁵ They estimated that in a post-Saddam Iraq, the country would be in a position to increase oil production from the current level of less than 3 million barrels a day to 6 million or perhaps even 8 million barrels a day by 2010.³⁶ In such a situation, Iraq will be an ‘insurance policy’ against Saudi Arabia.

Besides, the possibilities of democratic transformation had been spoiled by the US intervention in Iraq. The sanctions that Iraq suffered

for 12 years following the Gulf war effectively choked off this possibility, throttling the burgeoning confidence of its middle class, destroying hope and initiative, and concentrating immense power in the Iraqi state. The US invasion in 2003 completed the destruction of the Iraqi state. When the structures of the state are dismantled, the people fall back on ties of kinship and community as their sole bulwark against a threatening environment.³⁷

Conclusion

Dominance over the Arab world is of particular interest to the United States. It is a region composed of several states and 300 million people, extending from the Arabian Gulf to the Atlantic Ocean, sharing a common language, culture and aspirations of unity.³⁸ The region possesses vital geostrategic interests to the US imperial designs. In addition to the region's vast energy reserves, these interests include valuable contiguous land masses, airspace and water ways, which are vital for US-European-Asian trade and the ability of US military maneuvering.

With regard to energy, eight of the largest 20 energy producing countries are Arab, including the top three. Japan imports about 85 percent of its oil from the Middle East while 25.3 per cent of the US net oil import is from the Gulf region,³⁹ with approximately 60 percent of that quantity from Saudi Arabia. There is a striking correlation between the presence of oil and the deployment of the US military at the global level. Oil is energy, and energy is power. It is no longer a commodity to be bought and sold within the confines of supply and demand balances. Oil has become a determinant of well-being, of national security and international power for those who possess this vital resource, and the converse for those who do not.

Colonialism has adopted different strategies to dominate subjugated territories. The British had applied an 'Exploitation model' in India. They learned that by leveraging their forces in the support of one local group against another, they could greatly multiply their power, and effectively control a nation several times larger than their own. Saudi Arabia and Iran were excellent examples of the success of this 'model', which was passed over to the United States. Aligning with certain groups, the US could control and dominate the Middle East region by maintaining a comparatively limited military force.

The US also seems to have adopted a new model which may be called 'Intentional Instability Model'. This involves the principle that fostering, not resolving, instability in a region is the most effective

way to ensure acceptance of the dominant military force to exert influence. In classic 'exploitation model' manner the US military will continue to leverage local fighters and governments against each other,⁴⁰ attempting to reserve its military power behind protective barriers to launch lightening quick strikes against carefully planned targets. The result will be increasing instability in the Middle East that would facilitate strategic hold over the region by the dominant power.

The US has firmly established its hegemony over a major part of the Middle East. However, Syria, Iran, Palestine and Lebanon are to be bought into the fold. The escalating US pressure on Syria and Iran is part of an over all long term policy aimed at dominating the geo-strategic, political and economic assets of the region. It is part of a systematic policy that has historic origins, but modified to meet the strategic needs of the present.

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